

Theory of Change in Program Evaluation

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Monitoring & Evaluation Training Course for the Indian Economic Service

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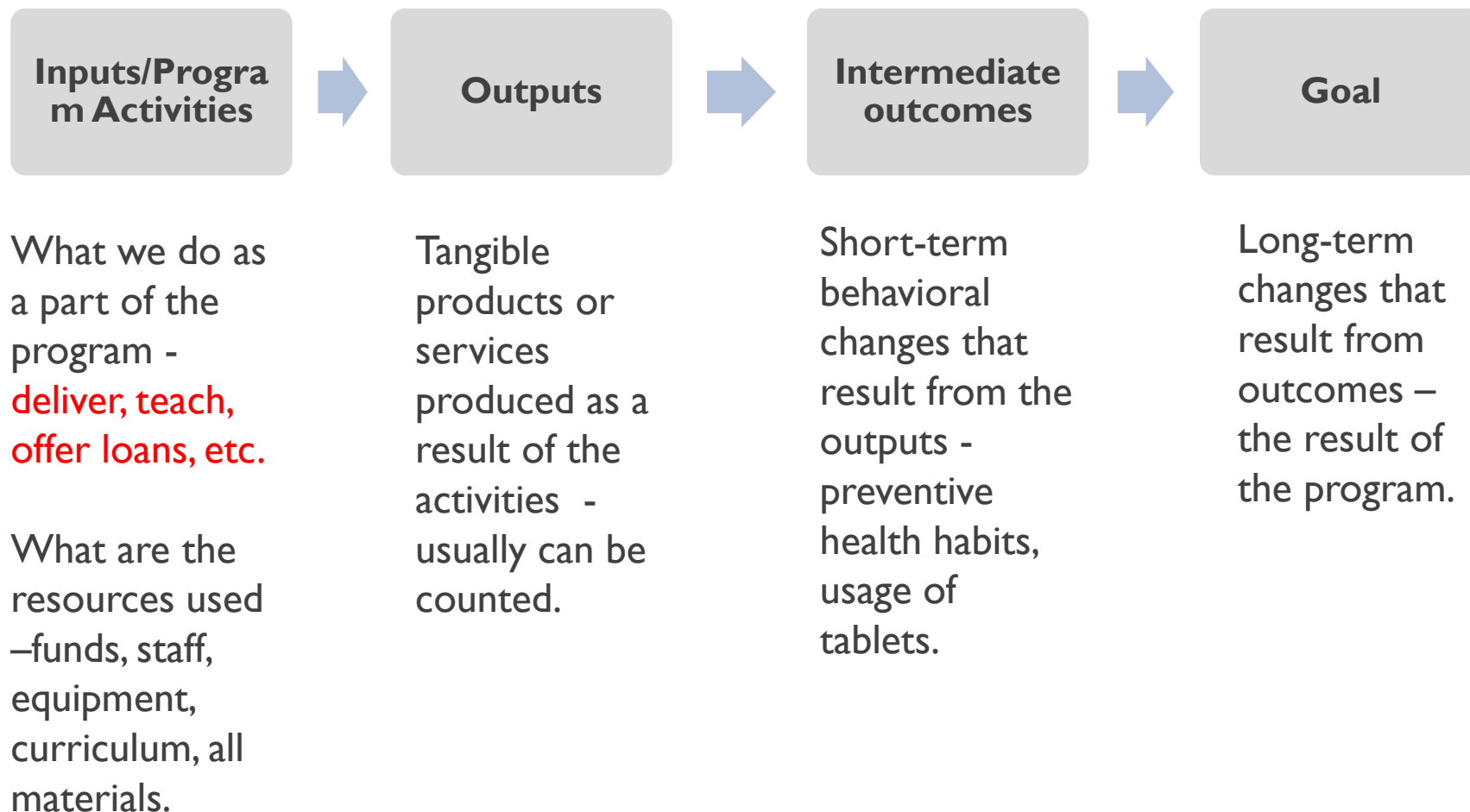
Presentation Overview

- What is Evaluation
- **Introduction to Theory of Change**
- Building a Theory of Change in 7 steps
- Linking Theory of Change to M+E
 - Process Evaluation
 - Impact Evaluation

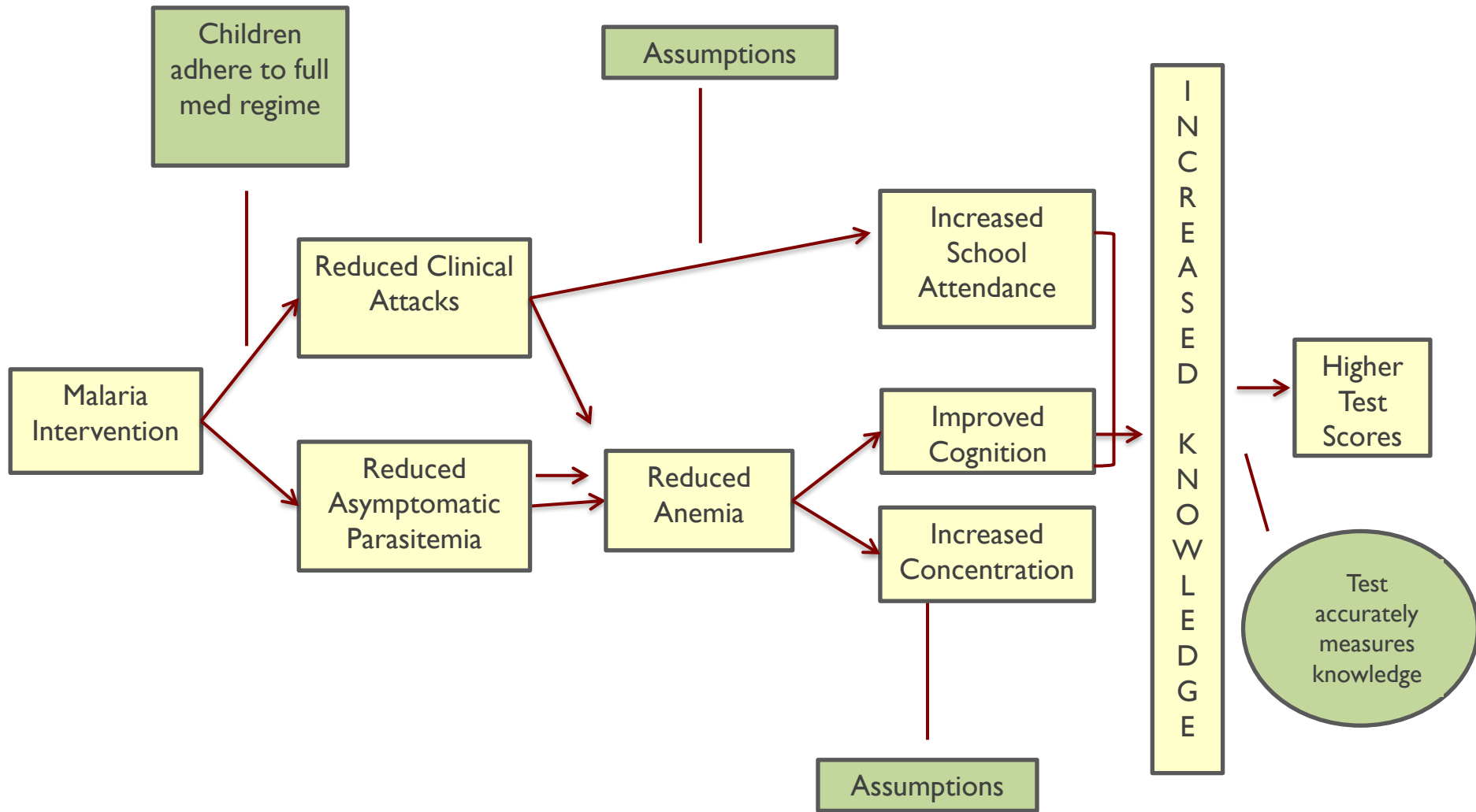
Theory of Change (ToC)

- Definition
 - Theory of change is an on-going **process** of reflection to **explore change and how it happens** – and what that means in a particular context, sector, and/or group of people.
- ToC thinking
 - Structured way of thinking about change and impact organizations would like to achieve
 - Integrated approach to program design, implementation, M+E, and communication

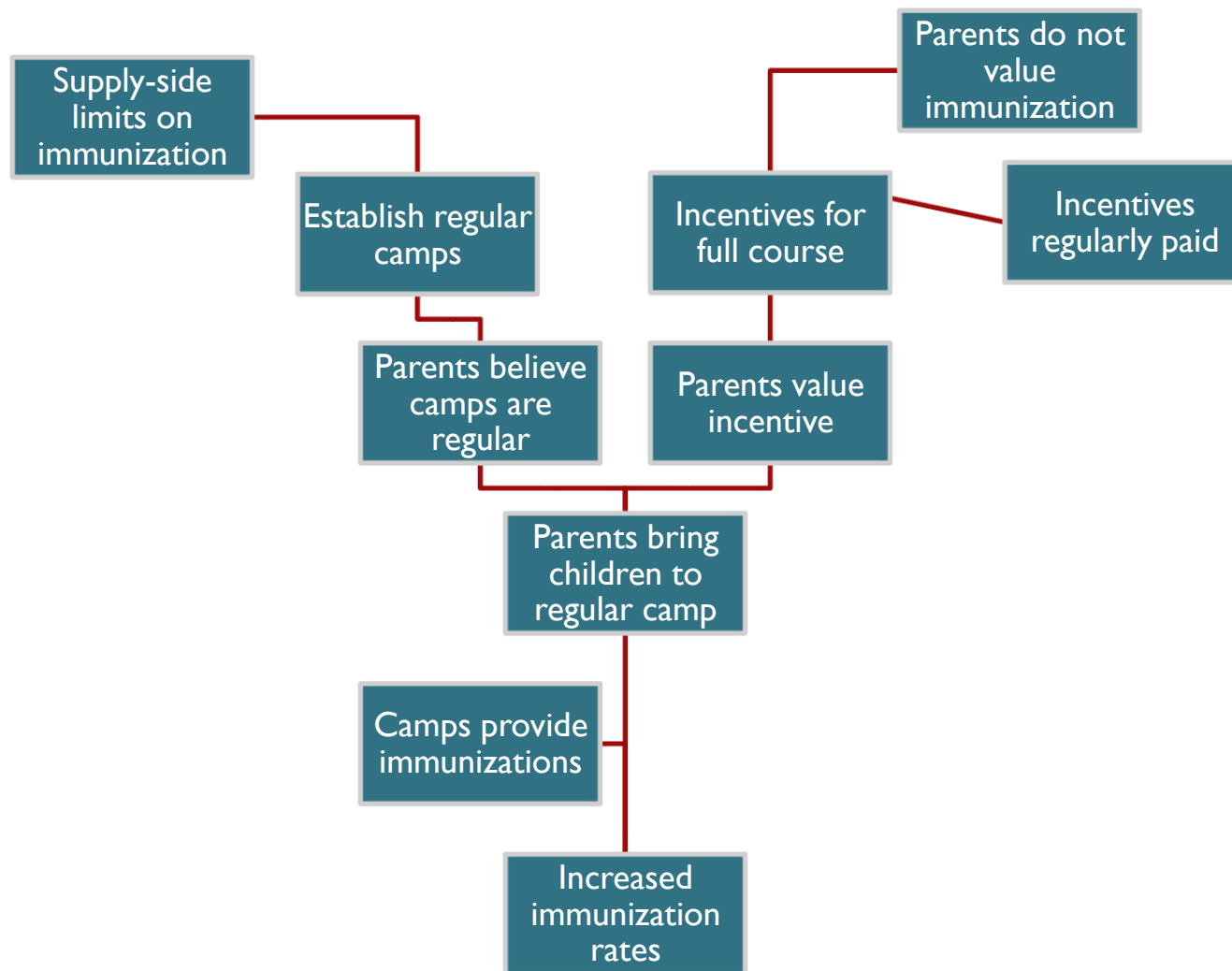
Theory of Change Levels



ToC: School-Based Malaria Intervention



Theory of Change



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7 Steps to Building a ToC

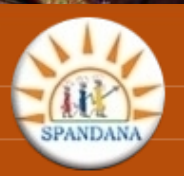
1. Situation analysis – Specifying the context
2. Clarify the program goal
3. Design the program/product
4. Map the causal pathway
5. Design SMART indicators
6. Explicate assumptions
7. Convert to Logical Framework

Expansion of Spandana

Where: Slums in Hyderabad, India

What: Microfinance for women

Why: Profit, poverty reduction, empowerment



Step 1: Situation/Context Analysis

- What it is:
 - Identifying target market segment (beneficiaries)
 - Needs, opportunities, barriers to progress
 - Map relevant stakeholders
 - Analyze broader political and economic context

- Purpose:
 - Design the right product, identify markers for success

Map opportunities, risks, broader context

Hyderabad Survey Results

- Monthly expenditure per capita: Rs. 1,006 (USD 22)
- Household debt: Rs. 45,538 (USD 1011)
- Male literacy: 68%
- Female literacy: 54%
- Women working outside the home: 21%

Underlying Issues/Consequences

- Low income, high debt
 - Limited access to formal financial services
 - Unable to smooth income
 - Lack of resources to invest in businesses

- Gender inequality
 - Women do not control resources
 - Limited decision-making power within household
 - Underinvestment in health and education

Step 1: Situation/Context Analysis

Situation/Context Analysis: Low income, high debt, gender inequality

Step 2: Setting Program Goals

- Raise income - Increasing investment in business and household assets
- Shift bargaining power within households
- Increase health and education spending

Step 2: Setting Program Goals

GOAL

Raising
Income

Situation/Context Analysis: Low income, high debt, gender inequality

Step 3: Design the Product

- Spandana - A traditional microcredit program
 - Group liability
 - Loans only to women
 - Weekly or monthly repayment
 - Starting loan is Rs. 10,000 (~USD 250)
 - Interest rate: 12% per year non-declining balance (24% APR)

Weigh Alternative Solutions

- Conditional cash transfers
- Skills development courses
- Literacy programs
- Gender empowerment

Step 3: Design the Product

INPUT

Offer loans
to women

- Step-by-step laying out the theory connecting your product/program to the goal
- Series of if.../then... statements forming results chain

GOAL

Raising
Income

Situation/Context Analysis: Low income, high debt, gender inequality

Step 4: Mapping the Causal Pathway

INPUT

OUTPUT

OUTCOME

GOAL

Open
Spandana
branches
targeting
women



Women
take out
loans



Choose to
invest in
new or
existing
businesses



Businesses
are
profitable



Higher
incomes

Situation/Context Analysis: Low income, high debt, gender inequality

Step 5: Design Indicators

- Indicators v. levels of results (goal, outcome, output, input)
- Indicators are signals of change, measures of progress

Good Indicators

- Quantitative and qualitative
- Standard of comparison (i.e. baseline v. endline, defining “high-quality,” etc.)
- SMART
 - **S**pecific
 - **M**easurable
 - **A**chievable
 - **R**eliable
 - **T**ime-bound

Step 5: Design Indicators

OUTPUT

After 6 months, 80% of planned branches opened and operational.

Open Spandana branches targeting women

After 9 months, 20% of eligible women have taken out a loan at a Spandana branch.

Women take out loans

After 12 months, 25% of the women who have taken out a loan have invested in a business.

Choose to invest in new or existing businesses

After 18 months, 50% of the businesses started by women w/ Spandana loans are profitable.

Businesses are profitable

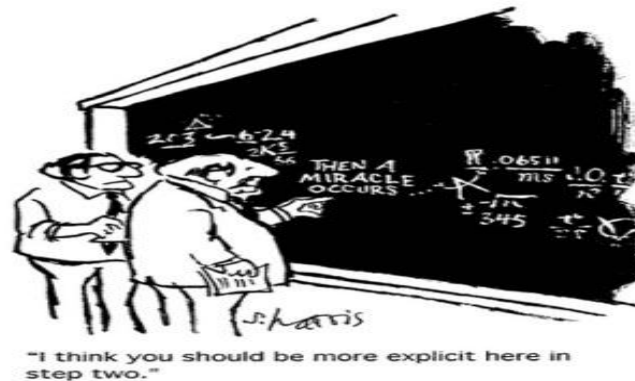
After 18 months, 40% of the women who have started businesses with Spandana loans have incomes at least 10% higher.

Higher incomes

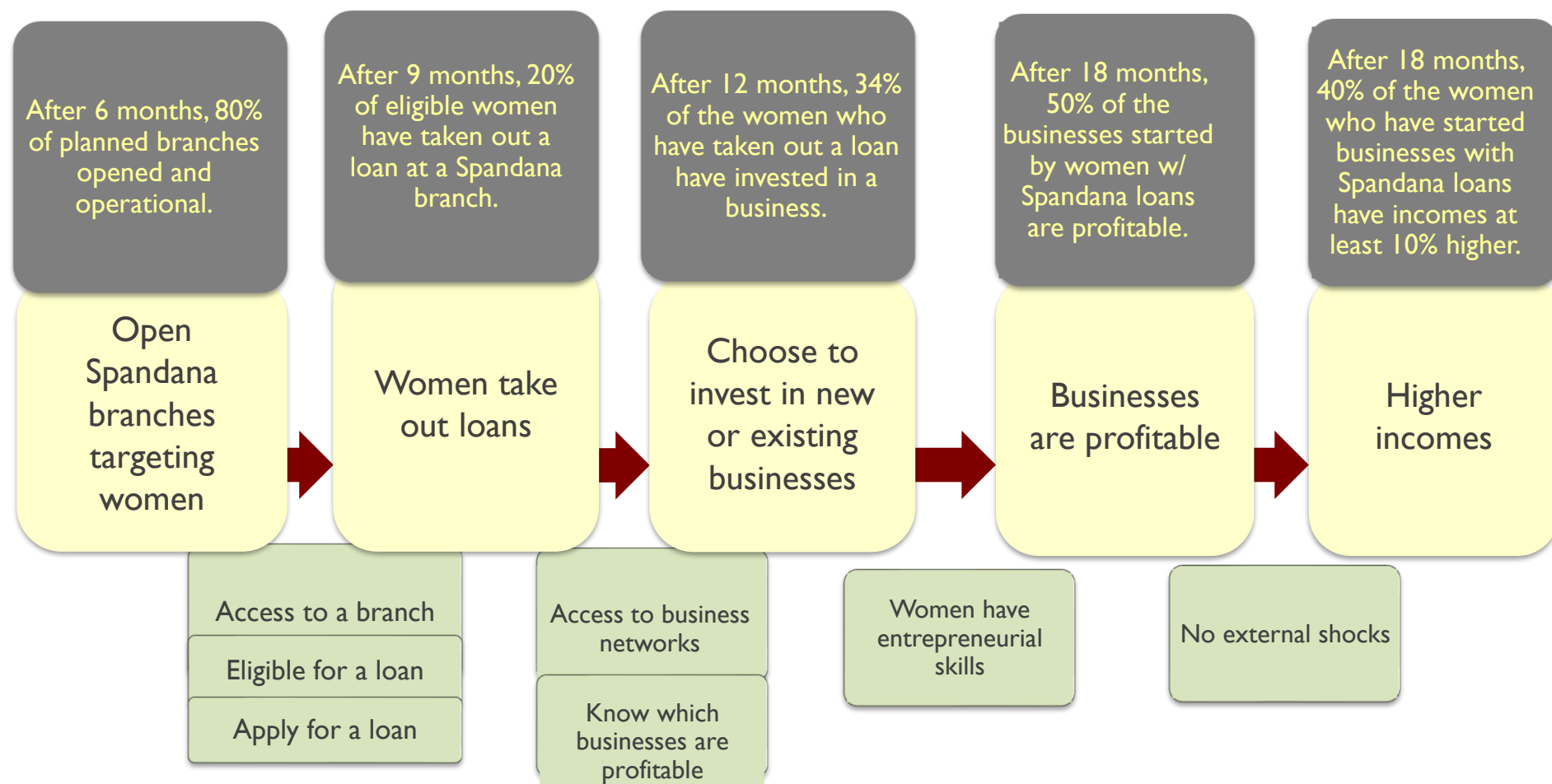
Situation/Context Analysis: Low income, high debt, gender inequality

Step 6: Explicate assumptions

Assumptions are the key to unlocking the theory of change thinking



Step 6: Explicate assumptions



Situation/Context Analysis: Low income, high debt, gender inequality

Step 7: ToC to Logical Framework

	Objectives Hierarchy	Indicators	Sources of Verification	Assumptions / Threats	
Impact (Goal/ Overall objective)	Higher income	Spending	Household survey	Business well-run, are profitable, no external shocks	↑ Impact evaluation
Outcome (Project Objective)	Households start new businesses; expand existing ones	Purchase of durable goods	Household survey	No problems of self-control, time-inconsistency. HHs can identify good investment opportunities	
Outputs	Increased MFI borrowing	Number of microloans	Household survey, Administrative data from MFIs	Women have access to branches. No borrowing from informal sources	↑ Process evaluation, monitoring
Inputs (Activities)	MFI branches are opened	Branches are operating; providing services	Branch visits/ surveys	Sufficient technical and human resources, funding	

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